FACTORS AFFECTING THE VALUE OF MOTOR VEHICLES????

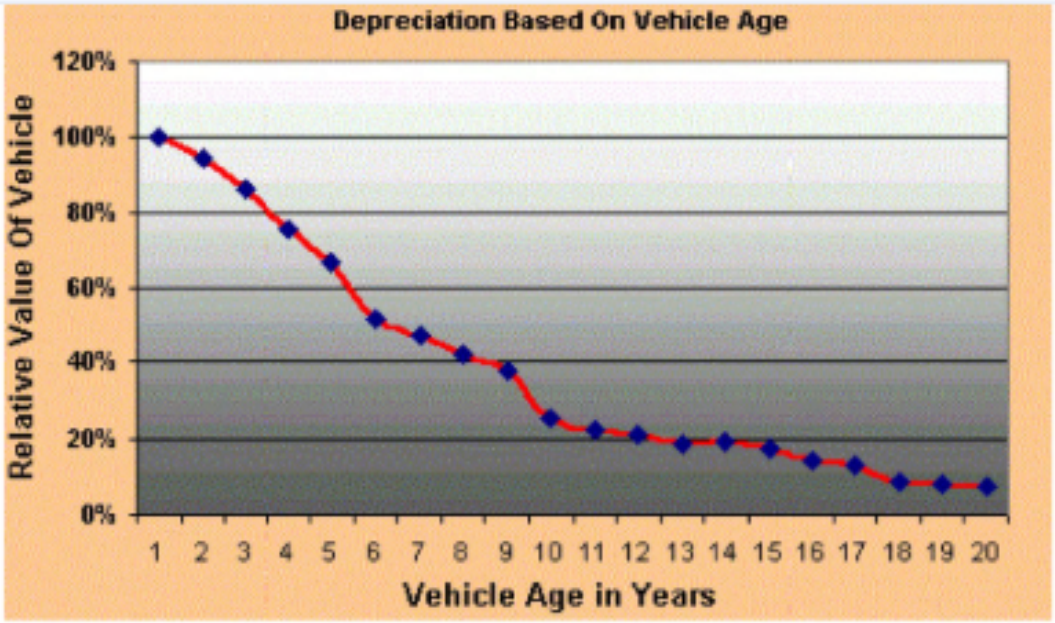


- Age
- Length of usage
- Mileage
- Condition of engine and transmission train
- Body Condition
- Tyre condition
- Maintenance History
- Functionalities of accessories

AGE/USEFUL LIFE OF A VEHICLE

- The useful life of the vehicle is depends on many factors. It differs from country to country and use of the vehicle.
- The average vehicle of the commercial vehicle in India is 20 years.





- Age of a vehicle has been established to have great influence on the value of motor vehicle.
- The value of a vehicle drops rapidly during the first 10 years.
- At the end of 10 years, the vehicle is worth only 20% of its original value and at the end of 20 years it is worth only 10% of this original value

MILEAGE/EXTENT OF USAGE

- Most vehicles can be driven about 250,000 km before major repairs have to be made.



- As a vehicle is driven, mechanical parts of the car slowly wear out.
- The most expensive mechanical parts of a vehicle are the engine and the transmission train. The combine average life of these components is 250,000 km.
- Mileage also depreciates the vehicles' monetary value, thus making its resale value decrease with every kilometre you drive.



- Vehicle depreciates a small amount during the first 10,000 Miles and then drops rapidly during the next 50,000 Miles to about 75% value of original cost. This is because the rate at which car depreciates is not same from year to year.
- It has been established that mileage never takes the value of a vehicle below 50% of its original value.

ENGINE AND TRANSMISSION CONDITION

- As earlier said engine and transmission train are major factors in determining the value of a vehicle.
- The engine condition can be:
- cracked or broken engine block, knocked, resurfaced crank shaft to 02 or 04, smoking exhaust, leaking engine oil, malfunction of gear box, malfunction of brake systems, etc



BODY CONDITION

- The body condition of a vehicle have great effect on the monetary value of the vehicle.
- The body condition could be:
- faded paint, body having scratches,
- Accidental body at the boot, body or bonnet, rusted body, roof or floor etc.

STATE OF TYRES

- Tires, even though they can easily be changed, its state at the time of valuation will be a factor and can also tell a story.
- Tires are usually classified either as new, fair or warn out.

MAINTENANCE HISTORY

- If a vehicle is maintained according to the manufacturer's specification, it will prolong its life and enhance its value, if not it will shorten its useful life.

FUNCTIONALITIES OF ACCESSORIES

- The functionalities of the accessories in a vehicle is an indication of its age and an indication of how well it is maintained too.
- The value of vehicle is enhanced if the accessories are functioning well.

COMPUTATION OF VALUATION FACTOR USING WEIGHT METHOD

- **The principles work on seven weighted headings with total weight of 50 units.**
- **Each heading is graded into 1 to 10. The best situation is graded 10 units, while the worst situation is graded 1 unit.**
- **The product of the weigh and the grade obtained is then summed up and divided by 500 being the product of the weigh and the best grade for each heading.**
- **The result of the above is the valuation factor which is a fraction of a unit.**
- **The product of the valuation factor and current market price give the value of the motor vehicle**

TABLE OF WEIGHT

S.NO	DESCRIPTION	WEIGHT
1	Condition of engine and transmission train	25
2	Age/length of usage	7
3	Mileage/Extent of use	5
4	The condition of the body	5
5	Functionality of facilities in the vehicle	5
6	Maintenance history	2
7	Condition of tires	1
	Total	50

GRADING OF VEHICLE COMPONENTS

- **CONDITION OF ENGINE (Total -10)**

S.NO	DESCRIPTION	GRADE
1	Cracked or broke engine block	2.5
2	Knocked engine	2
3	Resurfaced crank shaft to 02 or 04	1.5
4	Smoking exhausts	0.5
5	Malfunction of gear box	2
6	Leak Engine oil	0.5
7	Malfunction brake systems	1

AGE/LENGTH OF USAGE

- **The average useful life of a commercial vehicle is 15 or 20 years. It is graded thus;**
- **1 year has 10 units while 10 years have 1 unit.**
- **Depending on the number of years of usage, the units can be calculated.**

MILEAGE/EXTENT OF USEAGE

- **The maximum mileage expected of a vehicle is 250,000 km.**
- **It is graded in such a way that 250,000 km is 1 unit and 1 km is 10 units**
- **Assume each 25000 km reduced a unit**
- ***If the current mileage is obtained, the remaining mileage will be calculated and the units obtained.***

CONDITION OF THE BODY

- Faded paint 1.0
- Scratched body 1.5
- Accidental body at boot, body or bonnet 4.5
- Rusted body, roof or floor 3.0

STATE OF TIRES

- When the tire is new, it is graded 10 units, but when it is completely warn out it is graded 1 unit.
- The tires are graded either new, fair or worn-out.
- Depending on the physical assessment, the applicable units will be determined.

MAINTENANCE

- If the maintenance manual is being observed religiously, it will be graded 10 units.

- When the vehicle is not being maintained at all, it is graded 1 unit.
- Depending on the maintenance record and history, the appropriate units will be determined

FUNCTIONALITY OF ACCESSORIES

- If all the facilities in the car are functioning perfectly, it is graded 10 units.
- If all the facilities are not functioning, it is graded 1 unit.
- Depending on the state of the facilities in the vehicle, the appropriate units will be determined.

EXAMPLE OF VALUATION

- Let us value a vehicle

YEAR OF MANUFACTURING	2015
MAKE	TATA
MODEL	ACE DICOR
VARIENT	LOAD CARRIER
PLACE	CHENNAI
KM	100000
AVG SELLING VALUE/VALUE	250000

S.NO	DESCRIPTION	WEIGHT (W)	GRADE (G)/10	W*G
1	**Condition of engine and transmission train**	25	8	200
2	**Age/length of usage**	7	8	56
3	**Mileage/Extent of use**	5	6	30
4	**The condition of the body**	5	6	30
5	**Functionality of facilities in the vehicle**	5	7	35
6	**Maintenance history**	2	5	10
7	**Condition of tires**	1	8	16
	Total	50		467

- Valuation factor ;Vf =W*G/500
  =467/500 =0.934
- Value = vf ✖ Current Market price
- =0.934 ✖ 2,50,000
- =2,33,500

VALUATION OF VEHICLE ALSO CONSIDER BASED ON

- BRAND
- YEAR OF MANUFACTURING
- ENGINE &TRANSMISSION CONDITION
- BODY
- PLACE OF REGISTRATION
- TYPE OF LOAD CARRYING
- NO OF OWNERS
- DRC

- SERVICE
- SPARE PARTS AVAILABILITY